

State Fiscal and Regulatory Policy Effects on Economic Performance

Research brief | Presented at the Missouri Valley Economics Association (MVEA), Kansas City, Fall 2024

Overview

This undergraduate econometrics project examines how state fiscal and regulatory policies relate to state economic performance from 2000 to 2020. It served as an early applied research project before my honors thesis.

Research Question

How do state fiscal and regulatory policies affect economic performance across U.S. states? More specifically, are state policy differences associated with real gross state product per capita and private-sector real gross state product per capita?

Data and Methods

Data combine Cato Institute Freedom in the 50 States fiscal/regulatory measures, BEA gross state product data, and Census population estimates. The panel covers 50 states from 2000-2020 (N = 1,050). The project uses fixed-effects regressions to account for time-invariant state differences.

Key Findings

Fiscal-policy variables were generally more economically meaningful and consistently associated with state economic performance than many regulatory variables included in the model. State government consumption and investment, state tax burden, and the combined fiscal-policy measure were negatively associated with both outcomes.

Interpretation and Limitations

The results should be interpreted as associations from an observational panel-data project, not definitive causal estimates. Additional specifications, controls, and robustness checks would be needed before making strong policy claims.

Portfolio Relevance

This project demonstrates applied econometrics, public-finance reasoning, panel-data organization, policy-variable interpretation, and conference-style research communication.

Selected variable	GSP per capita	Private GSP per capita
State government consumption & investment / income	-230.6*	-265.7*
State taxation / income	-500.4**	-617.0**
Sum fiscal policy variables	-54.83**	-67.51*
N	1050	1050
R-squared	0.452	0.513

Standard errors in parentheses in the full report. Significance stars follow the original report.